Lecture (Profit and loss Statement)

Net sales Revenues[1]

-Cost of Sales (Cost of Goods Sold)

=Gross Profit

-Operating Expenses

Selling, General and Administrative Expenses

Research and Development expenses

=Operating income

+/- Other income /Loss (Non operating items)[2]

=Earnings before taxes (EBT)

- Income Taxes expense (or provision for income tax)

=Net Profit after tax

EPS

[1]Net sales Revenues

Sales – trade discount- sales returns and allowances – cash discounts- sales rebates

[2]Other Income :Non-operating Gains and losses

- Gains and losses resulting from sale of fixed assets.
  calculated by the difference between selling price and book value
- Gain and losses on foreign currency transactions [FOREX gain/loss].
- Realized Gains and Losses from equity/debt securities.
- Unrealized Gains and losses -trading securities.
- Interest Income
- Interest Expense (financing cost)
- Dividends Income : Dividends received from investments in other companies

Earnings Per Share (EPS)

=[Net Income- Dividends to Preferred Shareholders] / Number of common shares outstanding

TASK ONE

The following is a partial trial balance for the Greenwich Corporation as of December 31, year 1:

Accounts Titles		
Net Sales Revenues		$1947,000
Interest Revenue		38,000
Gain on Sale of Investments		55,000
Cost of Goods Sold	$746,031	
Selling Expenses	165,785	
General and Administrative Expenses	48,300	
Interest Expense	46,500	
Income Tax Expense	134,400	

There were 178,500 shares of common stock outstanding throughout year 1.

Required:

Prepare a multiple-step income statement for year 1, including EPS disclosures, by inserting the amounts above into the appropriate section.

Answer:

Sales Revenues		1947000
-COGS		(746031)
Gross Profit		1200969
Less : Operating exp		
Selling exp	165785	
G&A	48300	
Operating income		**986884**
+ Gain on sale	55000	
Interest Revenue	38000	
-Interest Expense		46500
Income before taxes		1033384
- Income taxes		(134400)
Net Income		898984/178500
EPS		5.03

TASK TWO

The following data involves 2022 information related to Webster Company ($000 omitted).

Administrative Expenses	8860
Cost of Goods Sold	63570
Rent revenue	17230
Selling Expenses	12420
Sales	106,500
Income tax expense	7580
Interest expense	1860

Instructions

Prepare an income statement for the year 2022. Number of Common shares outstanding for 2022 total 40,550 (000 omitted).

Sales		106500
Less: COGS		(63570)
=Gross Profit		**42930**
Less: Operating expenses		
Administrative Expenses	(8860)	
Selling expenses	(12420)	(21280)
Operating Income		**21650**
Rent Revenue		7230
-Interest Expense		(1860)
Earnings Before Taxes		**27020**
- Income taxes		(7580)
=Net Income		19440
EPS =19440/40550		0.479

TASK THREE

The trial balance of Kroeger Ltd included the following accounts as of December 31, 2022:

	Debits	**Credits**
Sales revenue		8,200,000
Interest revenue		60,000
Gain on sale of investments		120,000
Gains on sale of land		140,000
Foreign currency transaction loss	160,000	
Cost of goods sold	6,100,000	
Selling expenses	600,000	
Research and Development expenses	500,000	
Interest expense	30,000	
General and administrative expenses	500,000	

Kroeger had 300,000 ordinary shares outstanding throughout the year. Income tax expense has not yet been accrued. The effective tax rate is 40%.

Required:

Prepare a 2022 separate statement of profit or loss for Kroeger Ltd and include earnings per share disclosures.

Sales revenue		$8,200,000
Cost of goods sold		6,100,000
Gross profit		**2,100,000**
Operating expenses:		
Selling Expenses	$600,000	
General and administrative	500,000	
Research and development expenses	500,000	(1600,000)
Operating Profit		**500,000**
Other income (expense)		
Gain on sale of investments	120,000	
Forex loss	(160,000)	
Gains on sale of land	140,000	
Interest revenue	60,000	
Interest expense	(30,000)	(30000)
Earnings before income taxes		**630,000**
Income tax expense 630000 x40%		252,000
Net profit		**$ 378,000**
Divide by number of shares outstanding		300,000
Earnings per share		**$1.26**

TASK FOUR

The Filzinger Corporation's December 31, 2021 year-end trial balance contained the following income statement items:

Account Title	Debits	Credits
Sales revenue		6,700,000
Interest revenue		70,000
Gain on sale of investments		52,000
Cost of goods sold	4,200,000	
Selling expense	350,000	
General and administrative expense	948,000	
Interest expense	30,000	
Research and development expense	600,000	
Income tax expense	145,000	

Required: Calculate the company's net profit for the year

Sales		6700,000
-COGS		(4200,000)
Gross Profit		**2500,000**
-Selling exp		350,000
G and Adm		948000
R&D		600,000
Operating income		**602000**
Other Income (loss)		
Interest Revenue	70,000	
Gain on sale of investments	52,000	
Interest Expense	(30000)	92000
Earnings Before Tax		**694,000**
- Income tax Expense		(145,000)
= Net Income		549,000

Retained Earnings Account

Beginning Retained Earnings

+ Net income → **I.S**

– Dividends → (declared and/or paid in current year)

= **End-of-year balance of retained earnings**

TASK FIVE

Presented below are certain account balances of Wade Products Co.

Interest Revenue	$6500	Sales Discounts	$7,800
Interest Expense	$12,700	Selling expense	99,400
Beginning retained Earnings	114,000	Sales	400,000
Dividends Revenue	71,000	Income tax	26,600
Sales Returns	12,400	Cost of goods Sold	184,400
Dividends Declared during the year	20,000	Administrative exp	82,500

Required: From the foregoing, compute the following:

(a) Net sales= 400,000 -7800 -12,400=379800

(b) Gross Profit=379800 – 184400=195400

(c) Operating Income=195400 – 99400-82500=13500

(d) Non operating income=6500 +71000-12700=64800

(e) Earnings Before taxes=13500 +64800=78300

(f) Net income=78300 – 26600=51700

(g) Retained Earnings at end of the year = 114000+51700- 20000= 145700

TASK SIX

Presented below is information related to Brokaw Corp. for the year 2022.

Net Sales	$1,200,000	Research and Development exp	$80,000
Cost of Goods Sold	780,000	Gain on sale of building	40000
Selling Expenses	65,000	Loss on FOREX	50,000
Administrative Expenses	48,000	Cash Dividends Declared	45,000
Dividends Revenue	20,000	Retained Earnings at December 31,2021 (=1/1/2022)	300,000
Interest Revenue	7,000	Effective tax rate 34% on all items	

Required

a. Prepare a multiple-step income statement for 2022. Assume that 60,000 shares of common stock are outstanding**.**

b. Compute retained earnings statement for 2022.

Brokaw Corporation Income Statement for the year ended December 31, 2022	
Net Sales	1200,000
COGS	780000
Gross Profit	**420000**
Less: Operating Expenses	
Selling exp	(65000)
Administrative exp	(48000)
Research and Development expense	(80000)
Operating Income	**227000**
Other Income/Expense	
Gain on sale of building	+40,000
Loss on Forex	(50,000)
Dividend Revenue	+20000
Interest revenue	+7000
Earnings before taxes	**244000**
-Income Tax	82960
Net income	**161040**
EPS=161040/60,000	

R/E 1/1/2020 300,000

+Net Income 161040

- **Dividends declared (45000)**

Ending R/E balance 31/12/2020 =4160400

Comprehensive Income Statement:

TASK ONE

The trial balance for Sunrise Corporation, a manufacturing company, for the year ended December 31, year 1, included the following income accounts:

Account Title	Debits	Credits
Sales Revenue		$2450,000
Cost of Goods Sold	$1,200,500	
Selling and Administrative Expenses	400,000	
Interest Expense	45,500	
Gain on debt Securities		88,000

The gain on debt securities is unrealized and classified as other comprehensive income. The trial balance does not include the accrual for income taxes. Sunrise's income tax rate is 25%. There were 1,000,000 shares of common stock outstanding throughout year 1.

Required: Prepare an income statement and comprehensive income for year 1, including appropriate EPS disclosures.

Answer:
Net Income = 2450,000 – 1200,500 – 400,000 -45500= 804000

Net Income net of taxes = 804000 –(25%x 804000)= 603000

804000 x 75%= 603000

EPS = Net income 603000/ 1000000= $0.603/ share

Comprehensive Income = Net Income 603000 + OCI unrealized gain (88000x0.75=66000) = 669000

TASK TWO

The Maven Consulting Group reported income net of tax $1,314,000 for its fiscal year ended December 31, year 1. In addition, during the year the company experienced a positive foreign currency translation adjustment before taxes $252,000 and an unrealized gain on debt securities before taxes $84,500. The company's effective tax rate on all items affecting comprehensive income is 35%.

Required:

Prepare a separate statement of comprehensive income for year 1.

Income net of tax		1314000
OCI		
Foreign currency translation adj 252000 x 65%=	163800	
Unrealized gain AFS 84500 x65%=	54925	218725
Comprehensive Income		=1532725

Third : Statement of Stock holders' Equity

ABC Corporation
Statement of Stockholders' Equity
For the Year Ended December 31, 2020

	Common Stock - par	Common Stock - excess of par	Retained Earnings	Accumulated Other Comprehensive Income	Treasury Stock	Total
Balance, Dec 31, 2019	**xxx**	**xxxx**	**xxxxx**	**xxx**	**(xxx)**	**xxxxxx**
Net earnings			xxxx			xxx
Other comprehensive income				xx		xx
Treasury stock purchases					(x)	(x)
Dividends			(xx)			(xx)
Balance, Dec 31, 2020	**xxx**	**xxxx**	**xxxxxx**	**xxxx**	**(xxxx)**	**xxxxxx**

See accompanying notes to the financial statements.

TASK THREE

For the year ending December 31, 2021, the accounts of Jackson Corporation showed the following balances

Capital Stock, January 1, 2021	$500,000
Retained Earnings, beginning balance, January 1, 2021	$100,000
Total Revenues earned during 2021	$ 150,000
Total Expenses incurred during 2021	$90,000
Total Dividends declared during 2021	$10,000
Issuance of Stocks during 2021	$50,000

Required:

Determine the components of stockholders' equity as of December 31, 2021

	Capital Stocks	**Retained Earnings**
Beginning Balance	500,000	100,000
+Net Income 150000 -90000		60000
-Dividends		(10000)
Common stocks Issued	50000	
Ending Balance	550,000	150000

TASK FOUR

Bryant Co. reports the following information for 2020:

Sales Revenue	$750,000	Operating Expenses	$80,000
Cost of Goods Sold	$500,000	Unrealized holding loss on available for sale securities for 2020	$50,000
Cash Dividends declared and paid	$10,000	Capital stock issued during the year	$50,000
Capital stock at Jan 1, 2020		$350,000	
Accumulated Other Comprehensive Income on Jan 1		$80,000	

Instructions Prepare a statement of stockholders' equity.

	Capital stock	**Retained Earnings**	**OCI**	**Total**
Beginning Balance	350,000	0	80,000	430,000
Issued Capital stock	50,000			50,000
Net income		170,000		170,000
-Cash dividends		-10,000		-10,000
Unrealized holding loss			(50,000)	-50,000
Ending	400,000	160,000	30,000	590,000

TASK FIVE

On December 31, 2022, Brave Corporation reported the following on its balance

Sheet:

Cash	$22,000
Treasury stock ($8 per share, at cost)	(16,000)
Retained earnings	130,000
Common stock, par $5; (authorized 100,000 shares)	400,000
Capital in excess of par	?
Total contributed capital	540,000

Required:

Prepare the stockholders' equity section of the balance sheet.

Answer:

Contributed Capital

Capital Stock	400,000
Capital in excess of par	140,000
Total Contributed Capital	540000
Less Treasury Stock	(16000)
Retained Earnings	130000
Total Stockholders' Equity	**654000**

TASK SIX

The stockholders' equity section of Sosa Corporation appears below as of December 31, 2024.

6% preferred stock, $50 par value, authorized 100,000 shares, outstanding 90,000 shares	$4500,000
Common stock, $1 par, authorized and issued 10 million shares	10,000,000
Additional paid-in capital	20,500,000
Retained Earnings	167,000,000
	202,000,000

Net income for 20224= 33,000,000 is net of taxes

Dividends of $1,000,000 were declared and paid to common stockholders in 2024. **Instructions** Compute earnings per share data as it should appear on the income statement of Sosa Corporation.

$$\text{EPS} = \frac{33000000 - (6\% \times 4500,000)}{10,000,000}$$

TASK SEVEN

The following is a one step income statement for lake wood Inc.

Lakewood Inc.
Income Statement
For the Year Ended December 31, 2021

Revenues and gains:		
Sales revenue	$1,800,000	
Gain on sale of investments		50,000
Interest revenue	80,000	
Total revenues and gains		1,930,000
Expenses and losses:		
Cost of goods sold	$1,100,000	
Selling expense	220,000	
General and administrative expense		200,000
Interest expense	40,000	
Loss on inventory write-down	30,000	
Total expenses and losses		1,590,000
Income before income taxes	340,000	
Income tax expense	85,000	
Net income	255,000	
Earnings per share:	$2.55	

Required: Prepare a multiple-step income statement with earnings per share disclosure.

Lakewood Inc.
Income Statement
For the Year Ended December 31, 2021

Sales revenue	$1,800,000	
Cost of goods sold	1,100,000	
Gross profit	700,000	
Operating expenses:		
Selling expense	$220,000	
General and administrative expense		200,000
Loss on inventory write-down	30,000	
Total operating expenses		450,000
Operating income	250,000	
Other income (expense):		
Gain on sale of investments	50,000	
Interest revenue	80,000	
Interest expense	(40,000)	
Total other income, net	90,000	
Income before income taxes	340,000	
Income tax expense	85,000	
Net income	255,000	
Earnings per share	$2.55	

TASK EIGHT

World Services Inc. has provided the following information pertaining to the month ended October 31, 2022:

Sales revenue	$100,000		Supplies expense	$1,500
Interest expense	6,900		Rent expense	4,000
Cost of goods sold	60,000		Salaries expense	9,500
Dividends paid	5,000		Utilities expense	1,100
Advertising expense	4,500		Loss on sale of land	3,200
Dividends declared	7,100		Income tax expense	3,800
Unearned revenues	6,100			

Required:

Prepare a multiple income statement for the month ended October 31, 2022.

Sales Revenue		100,000
Less: Cost of Goods Sold		60,000
=Gross Profit		**40,000**
Less: Operating Expenses		
Advertising Expense	4500	
Supplies Expense	1,500	
Rent Expense	4,000	
Salaries Expense	9,500	
Utilities Expense	1,100	(20,600)
Operating Income		**19,400**
Other Income (Expense)		
Loss on sale of land		(3200)
EBIT		16,200
Interest expense		(6900)
Earnings Before Taxes		**9300**
-Income tax expense		(3800)
Net Income		**5500**

TASK NINE

McEntire Corporation began operations on January 1, 2019. During its first 3 years of operations, McEntire reported net income and declared dividends as follows.

	Net Income	Dividends Declared
2019	$40,000	-0-
2020	125,000	50,000
2021	160,000	50,000

The following information relates to 2022.

Income before income tax	$220,000
Dividends declared (of this amount, $25,000 will be paid on Jan. 15, 2023)	$100,000
Effective tax rate	40%

Instructions: Prepare a 2022 retained earnings statement for McEntire Corporation

Answer:

Beginning Balance Retained Earnings: Income retained from 2019 +2020 +2021=

[40,000 -0] + [125000-50,000]+[160,000-50,000]= **225,000**

Retained earnings account=

Beginning Retained Earnings Balance =	**225000**
Net income = 220,000 x 60% =	**132000**
Dividends Declared	**(100,000)**
Retained Earnings December 31, 2022	**257,000**